below the age of five) at Rs 21,612 crore and the Urban Rejuvenation Missions, which include two schemes (AMRUT and Smart Cities Mission) to fund urban infrastructure at Rs 12,085 crore.

Fifteenth Finance Commission Recommended Same Share of Central Taxes for the States

The Fifteenth Finance Commission submitted its report to the President on 9 November 2020. The government placed the Explanatory Memorandum on the Action Taken on the recommendations made by the Fifteenth Finance Commission on 1 February, the day the Budget was presented for financial year 2021–22.

The Fourteenth Finance Commission had recommended states' share in central taxes, after excluding cess and surcharges, at 42 per cent. The Union government was not very comfortable about it, which was reflected in the terms of reference of the Fifteenth Finance Commission as presented above.

The states had demanded a 50 per cent share in the central taxes. The Fifteenth Finance Commission did not accept this demand arguing that the states had received 50.2 per cent of gross revenue receipts (GRR) of the Central government during the Fourteenth Finance Commission period despite noting that in 2019–20, the share of total transfers in the GRR of the Central government was only 48.6 per cent and the share of states in central taxes had precipitously fallen to only 27.9 per cent out of this. It also did not accept the contention of the Central government to reduce share in central taxes on the same argument that the overall share of the transfers to the states during 2015–2020 (at 50.2 per cent) had remained almost similar to that during the Fourteenth Finance Commission period (48.2 per cent).

After taking note of all these demands and contentions, the Fifteenth Finance Commission decided to recommend the same percentage of 42 per cent as states' share in the divisible pool as recommended by the Fourteenth Finance Commission. It only made a technical revision of taking out the